

people were not sure what direction it could take, and so were willing to take the additional risk to be part of the impending gold rush. The usual yardsticks employed to assess the attractiveness of brick and mortar company stocks were not used in case of the dot-coms. Mass media played a role in creating the hype surrounding the new age entrepreneurs. In any case, companies with little or no prior experience and those who lacked any practical business plan were able to attract investment from the public. Many company stocks were quickly overvalued, making the investors and the founders rich, at least on paper. Companies like Netscape Communications saw their stock prices increase manifold overnight making billionaires of their founders.

The reasons for the bursting of the bubble is, again, not clear... After the smooth passage into the new millennium, companies that had invested in redundant hardware as a precaution against the effects of the Y2K phenomenon were not giving any more orders. The outsourcing phenomenon had also begun to dig into investor confidence. In any case, once investors began to realise that the stock prices were overvalued many times over, the selling began. Companies that were the toast of the town suddenly declared bankruptcy (like Pets.com); many were bought out by more capable buyers (Netscape was bought by AOL); the rest scaled down to a more practical and realistic level. It is estimated that with the burst of the bubble, approximately \$1.75 trillion (Rs 84 lakh crore) in market value was lost.